



The Psychology of Stock Market Participants

Understanding the psychology of the participants is the key to knowing how they will behave when they are gripped by fear and greed. He who understands this psychology is able to manipulate the markets by using the different participants at different times. Now let's see what each one wants from the markets.

Government

At this point when the world has become a global village and each country wants to attract foreign capital, governments need booming markets. Stock markets are the barometer of an economy. They send positive signals to foreign investors when they are in a bull phase. Booming stock markets create confidence and spur the governments to go ahead with their economic policies. No government likes depressed stock markets.

Regulator

Appointed by the government, the regulator also likes booming stock markets. A rising market is evidence of good governance. It also results in additional revenue in the form of higher transaction and service charges due to the increase in turnover.

Stock Exchanges

They facilitate stock transactions. During boom periods, incomes skyrocket by way of transaction charges from brokers, listing fees, etc.

Brokers

In a bull market the clientele increases and so do business opportunities. This results in higher incomes for the brokers.